Heiserman's Earnings Staircase

Another study is by Hewitt Heiserman Jr., titled "Ben Graham and the Growth Investor." Heiserman forwarded me his 50-slide presentation.

He started by recognizing the attractions of investing in a powerful grower and sitting on your investment. A few of these attractions are the following:

- You can defer capital gains.
- You can trade less.
- You don't have to worry about "timing."

Heiserman's study is not a 100-bagger study, but his emphasis is on growth stocks that became multibaggers.

But what about all those studies that show how value investing beats growth investing?

Well, that's because of the traps. An obvious trap is that investors often overpay for growth. It might seem with 100-baggers that you don't have to worry about the price you pay. But a simple mental experiment shows this isn't quite right.

Let's say we have two companies, A and B. Both start with $1 in earnings per share. Both will earn $20 in earnings per share in their twentieth year. And let's say at the end of year 10, both stocks will trade for $500 per share, or 25 times earnings.

Now, let's say in year one you can buy A for 5 times earnings, or $5 per share. And B you can buy for 50 times earnings, or $50. At the end of 20 years, you'll have a 100-bagger in A. Earnings will have gone up twenty-fold and the price–earnings ratio five-fold. The combination gets you a 100-bagger.

In B, you'll have a 10-bagger after 20 years. That's not bad, but it's way worse than a 100-bagger. A $10,000 investment in A will turn into $1 million at the end of 20 years. A $10,000 investment in B will become $100,000.

So, it may seem that the price paid did not matter. Certainly, few would complain about a 10-bagger. But the truly big return comes when you have both earnings growth and a rising multiple. Ideally, you'd have both working for you.